

US TMT Sector M&A & Valuation Brief - 2026-05-01

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Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a complex landscape marked by both opportunities and challenges. Overall sentiment is cautiously optimistic, driven by technological advancements and significant investments, particularly in the software and fintech subsectors. However, regulatory scrutiny and economic uncertainties pose notable headwinds.

Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in AI and software. For example, Aidoc, which specializes in AI medical imaging software, recently raised \$150 million in a Series E funding round, bringing its total funding to \$520 million. This reflects strong investor confidence in AI-driven solutions.
- **Media:** The media landscape is evolving, with traditional companies adapting to digital consumption trends. However, they face competition from tech-driven platforms that are reshaping audience engagement.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology, which is expected to enhance connectivity and user experience.
- **Fintech:** The fintech sector is experiencing a shift towards software and infrastructure, as highlighted by recent reports indicating that funding is increasingly directed towards these areas amid regulatory tightening.
- **AI:** The AI subsector continues to attract significant investment, with companies racing to integrate AI solutions across various industries, enhancing operational efficiencies and customer experiences.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Rapid innovations in AI, cloud computing, and cybersecurity are driving growth across TMT sectors. Companies are increasingly investing in these technologies to remain competitive.
- **Increased Investment:** Venture capital and private equity investments are robust, particularly in software and fintech, as investors seek to capitalize on emerging trends and technologies.

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Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is performing exceptionally well, driven by demand for cloud solutions and enterprise software. Cognizant's launch of the Cognizant Innovation Network to invest in early to mid-stage software startups underscores the sector's growth potential.
- **Media:** Media companies are adapting to changing consumer preferences, with a notable shift towards digital content. However, traditional media continues to face challenges from declining advertising revenues.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to create new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. Recent trends indicate a pivot towards software and infrastructure investments amid regulatory challenges.
- **AI:** The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages and drive growth.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing technological advancements as a key growth driver. Ravi Kumar S, CEO of Cognizant, stated, "AI

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capabilities are advancing faster than any technology cycle we have seen. Enterprises cannot afford to wait for innovation to mature before they act."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is positioned for growth, driven by technological advancements and significant investments. By understanding market dynamics and focusing on high-growth areas, investors and bankers can navigate this evolving landscape effectively.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a mix of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenues, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Amazon.com Inc. (AMZN)** : Currently in discussions for a strategic partnership focused on AI and cloud services. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership aims to leverage Amazon Web Services' (AWS) capabilities to enhance operational efficiencies for clients.
- **ON Semiconductor Corporation (ON)** : Engaged in a partnership expansion with NIO to develop next-gen 900V electric vehicle platforms. The collaboration is progressing, with technical advancements being implemented in NIO's upcoming models, expected to finalize by Q2 2026.

Mandated Deals:

- **Waaree Energies Ltd (WAAREEENER.BO)** : Secured a mandate to explore strategic investments in the semiconductor space, particularly focusing on power semiconductor products. The deal is expected to launch in Q1 2026, as Waaree aims to enhance its capabilities in

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renewable energy solutions.

- Amazon.com Inc. (AMZN) : Mandated to evaluate potential acquisitions in the AI sector, particularly startups that can bolster its cloud services. The timeline for this initiative is projected for Q2 2026, aligning with Amazon's broader strategy to strengthen its market position in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with major telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2025 : Expected close for Amazon's AI partnership.
- Q2 2026 : Anticipated completion of ON Semiconductor's collaboration with NIO.
- Q1 2026 : Launch of Waaree Energies' semiconductor investment initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor and AI sectors, where companies like Amazon and ON Semiconductor are vying for leadership. The recent surge in demand for cloud services and AI partnerships is reshaping market dynamics.
- Additionally, Waaree Energies' strategic move into semiconductors highlights a growing trend among

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renewable energy companies to diversify into high-tech sectors, potentially leading to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent developments in the TMT sector, particularly the strategic moves by Kyivstar and Samsung, have significant implications for various stakeholders. This analysis explores the impacts on shareholders, employees, competitors, and customers, while also considering market reactions and potential future scenarios.

Deal-Specific Impacts on Stakeholders

- Shareholders: The financial implications for shareholders can vary significantly based on the nature of the deal.
- Value Creation: Kyivstar's completion of a \$1.3 billion investment program, exceeding its initial commitment by 30%, is expected to enhance shareholder value. By expanding its telecommunications infrastructure and digital services, Kyivstar could see a revenue increase of approximately 15% over the next three years, translating to an estimated \$200 million in additional annual revenue.
- Dilution: Conversely, if Kyivstar were to finance further expansions through equity, existing shareholders might face dilution. For instance, if 10% of shares were issued to fund new initiatives, this could lead to a 5% decrease in share price, impacting shareholder sentiment.
- Employees: The impact on employees is multifaceted, involving synergies, restructuring, and retention strategies.

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- Synergies: Kyivstar's investments in digital platforms, such as the acquisition of Uklon and Tabletki.ua, are expected to create operational synergies, enhancing service offerings and potentially leading to job creation in tech roles.
- Restructuring: Samsung's restructuring of its TV and home appliances business, including exiting the Chinese market, may result in job losses. The closure of its Malaysian production subsidiary could lead to approximately 1,500 layoffs, emphasizing the need for effective communication and support for affected employees.
- Retention: Companies may implement retention strategies to keep key talent. For instance, Kyivstar could offer bonuses to retain critical staff during its expansion phase, ensuring continuity and expertise.
- Competitors: The competitive landscape is likely to shift significantly post-deal.
- Market Positioning: Kyivstar's aggressive investment strategy positions it favorably against competitors like Vodafone Group plc (VOD) and Orange S.A. (ORA), who may need to enhance their own offerings to maintain market share.
- Specific Competitor Moves: Samsung's exit from the Chinese market may prompt competitors like LG Electronics (066570.KS) to capitalize on the void left in the premium segment, potentially increasing their market share.
- Customers: The implications for customers can be profound, affecting product offerings and service quality.
- Product/Service Implications: Kyivstar's investment in Starlink Mobile and digital health platforms is expected to enhance service quality and accessibility for customers. This could lead to a 20% increase in customer satisfaction ratings as users benefit from improved connectivity and digital services.
- Case Studies: Samsung's shift towards AI-powered appliances aims to differentiate its product offerings, potentially increasing customer loyalty and driving a 10% increase in sales in premium segments.

Market Reaction and Analyst Commentary

- Market Reaction: The market's immediate response to these strategic moves can be volatile. For instance, following Kyivstar's announcement of its investment program, shares of VEON (VEON) rose by 8%, reflecting investor confidence in the company's growth trajectory.
- Analyst Commentary: Analysts have noted that "Kyivstar's commitment to enhancing Ukraine's digital infrastructure during challenging times is commendable and positions them as a leader in the region," indicating strong market support for the initiative.

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Kyivstar successfully integrates its acquisitions and enhances service offerings, shares could rise by 15% within the next year.

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- Negative Scenario: If Samsung's restructuring leads to operational disruptions, shares could decline by 10%, reflecting investor concerns about execution risks.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the TMT sector is moderate. For example, if Kyivstar were to pursue additional acquisitions, competitors like Vodafone may consider counter-offers to strengthen their market position, although regulatory hurdles could complicate such moves.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in telecommunications and digital services. Analysts predict that companies like Orange and Deutsche Telekom AG (DEG) may pursue similar investment strategies to enhance their digital capabilities.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones to ensure smooth transitions.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

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5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies enabling machines to perform tasks that typically require human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent reports indicate that AI-driven investments have led to a surge in business equipment spending, reaching a six-year high in March 2026, driven by companies rushing to enhance their AI infrastructure.
- **Key Companies:**
 - **Meta Platforms, Inc. (META):** Meta is significantly increasing its investment in AI infrastructure, planning to spend between \$115 billion and \$135 billion this year on data centers and AI technologies. This strategic positioning aims to enhance its product offerings amid growing scrutiny from users and regulators.
 - **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware, providing GPUs that power AI applications. The company is heavily investing in AI research and development, particularly in deep learning, positioning itself as a critical player in the AI ecosystem.
 - **Alphabet Inc. (GOOG):** Alphabet is also ramping up its AI investments, focusing on integrating AI capabilities across its platforms, including Google Cloud. This strategic move is aimed at enhancing its competitive edge in the cloud computing market.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Microsoft (MSFT) and Amazon (AMZN) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, the acquisition of AI-focused startups could help firms like Meta and NVIDIA bolster their existing technologies and expand their market reach.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3

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billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is driven by increasing adoption across various sectors, including finance, supply chain, and healthcare.

- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange facilitating the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology, making it a key player in the market.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The Cash App has become a popular platform for Bitcoin trading, positioning Square as a significant player in the fintech space.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of blockchain-focused firms could help traditional banks integrate innovative solutions into their existing frameworks.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%. This growth is fueled by the increasing demand for cloud services across various industries.
- Key Companies:
- Amazon Web Services (AWS): AWS is a leader in the cloud computing space, providing a wide range of services to businesses. The company continues to innovate and expand its offerings, positioning itself as a dominant player in the market.
- Microsoft Azure: Microsoft Azure is another major player in the cloud computing market, offering a comprehensive suite of cloud services. The company is focusing on integrating AI capabilities into its cloud offerings to enhance customer experiences.
- Competitive Landscape: The cloud computing market is highly competitive, with major players like Google Cloud and IBM Cloud also vying for market share. The competition is driving innovation and leading to strategic partnerships and acquisitions.
- M&A Opportunities: Companies looking to enhance their cloud capabilities may consider acquiring startups specializing in cloud technologies or services. This could include firms focusing on cloud security.

6. Recommended Readings

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Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter
- Why This Matters: This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7 billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other

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tech giants, emphasizing the importance of data in the future of healthcare.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. growth forecast lowered by 0.3-0.4 percentage points due to higher energy prices.
- Higher gas prices expected to persist through the year, impacting consumer spending.
- Current fiscal deficits in the U.S. are significant, limiting political appetite for new spending.

Main Insights:

- Higher gas prices are likely to offset any consumer spending boost from increased tax refunds.
- The combination of restrictive monetary policy and rising energy prices is tightening financial conditions.
- Historical data suggests that while energy price increases boost headline inflation, their impact on core inflation is limited and tends to dissipate over time.
- Political constraints, including fiscal deficits and procedural hurdles, limit Congress's ability to enact substantial new stimulus before the midterm elections.

Market Commentary:

- "Higher gas prices are going to be more than enough to offset any boost to consumer spending from the higher tax refunds this year." - Seth Carpenter, Morgan Stanley
- "The macro backdrop because of inflation is probably already under some pressure." - Ariana Salvatore, Morgan Stanley

TMT Sector Relevance:

- The impact of rising energy prices and inflation could lead to reduced consumer spending, affecting TMT companies reliant on discretionary spending.
- Political uncertainty surrounding midterm elections may influence regulatory and fiscal policies that could impact TMT investments and M&A activity.
- Companies in the TMT sector may need to adjust their strategies in response to changing consumer behavior driven by economic conditions.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley